

Not Reported in Fed. Supp.
United States District Court, S.D. Florida, Miami Division

OFFICE OF THE ATTORNEY GENERAL DEPARTMENT OF LEGAL AFFAIRS

v.

SMARTBIZ TELECOM LLC

Decided November 19, 2024

Opinion of the court

Attorneys and Law Firms Miles Walter Vaughn, Florida Office of Attorney General, Tampa, FL, Patrick Christopher Crotty, National Consumer Law Center, Washington, DC, for Plaintiff. Edward Maldonado, Maldonado Law Group, Coral Gables, FL, Michael J. McMorrow, Pro Hac Vice, Locke Lord LLP, Chicago, IL, Thomas Justin Cunningham, Locke Lord LLP, West Palm Beach, FL, for Defendant

ORDER DENYING DEFENDANT'S MOTIONS FOR LEAVE JOSE E. MARTINEZ, UNITED STATES DISTRICT JUDGE THIS CAUSE came before this Court upon Defendant's Motion for Leave to File Amended Answer and Affirmative Defenses, (ECF No. 116), and Motion for Leave to File Motion for Summary Judgment, (ECF No. 117), (together, "Motions for Leave"). This Court has reviewed the Motions for Leave, pertinent portions of the record, and applicable law and is otherwise fully advised in the premises. Accordingly, for the reasons set forth herein, the Motions for Leave are DENIED

FACTUAL BACKGROUND On September 19, 2024, this Court entered its Order on Motions for Summary Judgment, (ECF No. 110), in which it granted in part and denied in part Plaintiff's Motion for Summary Judgment and denied Defendant's Motion for Summary Judgment. Trial is currently set to begin on January 13, 2025, to adjudicate Defendant's mitigation efforts regarding Counts I and II of the Complaint. (See ECF No. 125). Defendant now moves for leave to amend its Answer and Affirmative Defenses and to file a motion for summary judgment

LEGAL STANDARD Rule 15 of the Federal Rules of Civil Procedure usually governs amendment to pleadings. Apart from initial amendments permissible as a matter of course, "a party may amend its pleading only with the opposing party's written consent or the court's leave. The court should freely give leave when justice so requires." Fed. R. Civ. P. 15(a)(2). However, "[a] district court need not ... allow an amendment (1) where there has been undue delay, bad faith, dilatory motive, or repeated failure to cure deficiencies by amendments previously allowed; (2) where allowing amendment would cause undue prejudice to the opposing party; or (3) where amendment would be futile." *Bryant v. Dupree*, 252 F.3d 1161, 1163 (11th Cir. 2001). "[A] district court may properly deny leave to amend the complaint under Rule 15(a) when such amendment would be futile." *Hall v. United Ins. Co. of Am.*, 367 F.3d 1255, 1263 (11th Cir. 2004). In any event, "the grant or denial of an opportunity to amend is within the discretion of the District Court" *Foman v. Davis*, 371 U.S. 178, 182 (1962). According to the Eleventh Circuit, Rule 16 is the proper guide for determining whether a delay is excusable when a motion to amend is filed after a scheduling order deadline. *Sosa v. Airprint Sys., Inc.*, 133 F.3d 1417, 1418 n.2 (11th Cir. 1998); see also *Smith v. Sch. Bd. of Orange Cty.*, 487 F.3d 1361, 1366-67 (11th Cir. 2007) (holding that "where a party files an untimely motion to amend, [we] must first determine whether the party complied with Rule 16(b)'s good cause requirement," before considering whether "justice so

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requires” allowing amendment). If the party seeking relief “was not diligent, the [good cause] inquiry should end.” *Sosa*, 133 F.3d at 1418 (quoting *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 609 (9th Cir. 1992))

DISCUSSION Defendant moves for leave to amend its Answer and Affirmative Defenses and to file a motion for summary judgment for two reasons. First, Defendant argues it is immune from suit under a provision of the Communications Decency Act (“CDA”), specifically 47 U.S.C. § 230(c)(1), following the decision in *United States v. Stratics Networks Inc.*, 2024 WL 966380 (S.D. Cal. Mar. 6, 2024). Second, that *Loper Bright Enterprises v. Raimondo*, 144 S.Ct. 2244 (2024), which overruled *Chevron U. S. A. Inc. v. Natural Resources Defense Council, Inc.*, 467 U.S. 837 (1984), requires the Court to reinterpret the Telephone Consumer Protection Act (“TCPA”), 47 U.S.C. § 227. (ECF No. 116 at ¶¶ 1–4). Plaintiff argues in response that both Motions for Leave should be denied because of undue delay and futility. (See ECF No. 122 at 1; see also ECF No. 123 at 1–2). This Court agrees. A. Motion for Leave to Amend Answer and Affirmative Defenses Defendant asserts that neither the *Stratics Network* decision nor the *Loper Bright* decision was available to the parties at the time the summary judgment briefing was due thus there “was no meaningful opportunity for the parties to bring these changes in the law before the Court.” (ECF No. 116 at ¶ 3). This Court disagrees. Defendant has had approximately seven months since the *Stratics Network* decision and four months since *Loper Bright* decision were decided to request leave to amend or file a notice of supplemental authority before the instant Motions for Leave were filed. Moreover, Defendant could still have raised a defense under § 230(c)(1) prior to the *Stratics Network* decision as Congress enacted 47 U.S.C. § 230 on February 8, 1996. The Court agrees with Plaintiff that this qualifies as undue delay and would be prejudicial, as trial is around the corner and an amendment would delay the resolution of this matter. (ECF No. 122 at 5). Regardless, the Motion for Leave to Amend Answer and Affirmative Defenses also fails on the merits. First, *Stratics*

Networks is neither binding on this Court nor factually analogous to the claims in this case as it concerns ringless voicemail, which is not at issue here. *Stratics Networks*, 2024 WL 966380, at . Defendant also incorrectly alleges that a § 230(c)(1) defense is jurisdictional. (ECF No. 116 at ¶¶ 5, 8). See *Energy Automation Sys., Inc. v. Xcentric Ventures LLC*, 2007 WL 1557202, at (M.D. Tenn. May 25, 2007) (“Although courts speak in terms of ‘immunity’ ... this does not mean that the CDA has created an ‘immunity from suit’ ... Whether or not that defense applies in any particular case is a question that goes to the merits of that case, and not to the question of jurisdiction.”); see also *Levitt v. Yelp! Inc.*, 2011 WL 13153230, at (N.D. Cal. Mar. 22, 2011) (“Yelp provides no authority for the broader proposition that Section 230(c) affects this court's subject matter jurisdiction.”) Second, *Loper Bright* does not require this Court to revisit its interpretation of the TCPA as this Court never applied *Chevron* deference in its analysis of the TCPA in the Order on Motions for Summary Judgment. Also, Defendant's proposed Amended Answer and Affirmative Defenses, (ECF No. 116-1), contains no mention of *Loper Bright* or *Chevron*, and as Plaintiff notes, it is unclear what relevance these cases have to the proposed amendment. (ECF No. 122 at 2). The Court's ruling on the motions for summary judgment would remain unaltered even if leave to amend were granted, and thus the amendment would be futile. B. Motion for Leave to File Motion for Summary Judgment This Court set a deadline for the parties to file their summary judgment motions and that deadline passed over a year ago. (See ECF No. 43). Defendant is required to demonstrate that good cause exists to amend the now expired deadline for filing dispositive motions. *Sosa*, 133 F.3d at 1418 n.2.

Instead, Defendant argues that multiple summary judgment motions are permissible under Fed. R. Civ. P. 56 and L.R. 56.1. (ECF No. 117-4 at 3). For the same reasons explained above, and for failure to establish good cause, Defendant's request to file a new motion for summary judgment is denied

CONCLUSION Accordingly, it is ORDERED AND ADJUDGED that Defendant's Motion for Leave to File Amended Answer and

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Affirmative Defenses, (ECF No. 116), and Motion for Leave to File Motion for Summary Judgment, (ECF No. 117), are DENIED. DONE AND ORDERED in Chambers at Miami, Florida, this 19 day of November 2024